Note 6: Income Tax

Following is a summary of the provision for income taxes and charge-in-lieu of income taxes for the years ended December 31, 2003, 2002, and 2001 (expressed in thousands):

	TGT PIPELINE Consolidated	TEXAS GAS			
				For the Year Ended December 31,	
	For the Period from Inception through December 31, 2003	For the Period May 17, 2003 through December 31, 2003	For the Period January 1, 2003 through May 16, 2003	2002	2001
Current provision (benefit):					
Federal	$ (4,141)	$ (1,520)	$14,234	$(1,867)	$24,180
State	(717)	(99)	2,659	(401)	5,202
	(4,858)	(1,619)	16,893	(2,268)	29,382
Deferred provision (benefit):					
Federal	17,666	17,414	4,522	32,373	905
State	2,296	2,263	972	6,542	197
	19,962	19,677	5,494	38,915	1,102
(Charge-in-lieu of) Income tax	$ 15,104	$ 18,058	$22,387	$36,647	$30,484

Reconciliations from the (charge-in-lieu of) income tax provision at the statutory rate to our income tax provisions are as follows (expressed in thousands):

	TGT PIPELINE Consolidated	TEXAS GAS			
				For the Year Ended December 31	
	For the Period from Inception through December 31, 2003	For the Period May 17, 2003 through December 31, 2003	For the Period January 1, 2003 through May 16, 2003	2002	2001
Provision at statutory rate	$ 13,145	$ 15,705	$ 19,901	$32,461	$26,465
Increases in taxes resulting from:					
State income taxes	1,709	2,042	2,587	3,991	3,506
Other, net	250	311	(101)	195	513
(Charge-in-lieu of) Income tax	$15,104	$18,058	$22,387	$36,647	$30,484

Significant components of deferred income tax liabilities and assets as of December 31, 2003 and 2002, are as follows (expressed in thousands):

	TGT PIPELINE Consolidated	TEXAS GAS	
	2003	2003	2002
Deferred tax liabilities:			
Storage Gas	$ 65,568	$ 65,568	$ -
Unamortized Debt Expense	3,519	3,235	-
Other	2,246	2,246	-
Property, plant and equipment	-	-	220,020
Recoverable contract reformation costs	-	-	2,925
Total deferred tax liabilities	71,333	71,049	222,945
Deferred tax assets:			
Property, plant and equipment	134,602	134,602	-
Other accrued taxes	-	-	2,339
Accrued payroll, pension and other benefits	15,579	15,579	19,380
Deferred income	748	748	97
Other liabilities	8,464	8,464	9,814
Total deferred tax assets	159,393	159,393	31,630
Net deferred tax liabilities (assets)	$ (88,060)	$ (88,344)	$191,315

As set forth above, the accompanying financial statements reflect a net deferred tax asset resulting from the tax basis allocation and the 338(h)(10) election. Based on our estimates of future taxable income, we believe that no valuation reserve is required. TGT Pipeline and Texas Gas also have estimated net operating loss carryforwards of $7.5 million and $4.3 million, respectively at December 31, 2003. We anticipate the utilization of these carryforwards and have provided for the benefit in the financial statements.